Asian Paints Limited
6A & 6B, Shantinagar,
Santacruz (East)
Mumbai 400 055
Maharashtra, India
T : (022) 6218 1000
www.asianpaints.com

APL/SEC/26/2026-27/7

12th June 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
Security Code: 500820

National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Symbol: ASIANPAINT

Sir/Madam,

Sub: Integrated Annual Report for the financial year 2025-26 and Notice convening the 80th Annual General Meeting of the Company

This is with reference to our letter no. APL/SEC/57/2026-27/4 dated 29th May 2026, wherein it was informed that the 80th Annual General Meeting ("AGM") of the Company is scheduled to be held on Thursday, 9th July 2026 at 11:00 a.m. IST through video conference and/or other audio visual means.

Pursuant to Regulation 34(1) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Notice convening the 80th AGM and the Integrated Annual Report of the Company, including the Business Responsibility and Sustainability Report, for the financial year 2025-26.

Further, the Notice of the AGM and the Integrated Annual Report of the Company for the financial year 2025-26 is being sent through electronic mode to all those shareholders of the Company whose email addresses are registered with the Company/Registrar and Share Transfer Agent ("RTA")/Depository Participant(s) and the physical copies of the same will be provided to the shareholders on request. For those shareholders who have not registered their email addresses, a letter providing the weblink from where the Notice of the AGM and Integrated Annual Report for the financial year 2025-26 can be accessed is being sent.

The Notice of the AGM along with the Integrated Annual Report for the financial year 2025-26 is also uploaded on the Company's website at https://www.asianpaints.com/AnnualReports.html and the website of National Securities Depository Limited at www.evoting.nsdl.com.

You are requested to take the above information on record.

Thanking you,

Yours truly,

For **ASIAN PAINTS LIMITED**

JEYAMURUGAN RAMALINGAM JEYAPANDIYAN
Digitally signed by JEYAMURUGAN RAMALINGAM JEYAPANDIYAN
Date: 2026.06.12 15:57:21 +05'30'

R J JEYAMURUGAN
CFO & COMPANY SECRETARY

Encl.: As above

About this Report

The Integrated Annual Report of Asian Paints Limited presents a comprehensive overview of our financial, operational and sustainability performance for the year.

Going beyond financial reporting, the Report captures our non-financial performance, key opportunities, risks and outcomes associated with our stakeholders, reflecting our ability to create long-term value. Guided by our ESG framework, we embed responsible practices into the way we operate, innovate and grow, while staying true to our purpose of bringing joy to people's lives.

Reporting scope and boundary

All reported financial numbers pertain to standalone and consolidated operations of Asian Paints Limited. All reported non-financial and operational numbers pertain to standalone operations of Asian Paints Limited, unless otherwise specified.

Reporting period

1ST APRIL 2025 TO 31ST MARCH 2026

Statutes, frameworks, guidelines and standards

This report has been prepared in accordance with the <IR> framework published by the International Financial Reporting Standards Foundation (IFRS). It has been prepared in accordance with the following statutes, frameworks, guidelines and standards:

- Companies Act, 2013 (and the rules issued thereunder)
- Indian Accounting Standards
- Securities and Exchange Board of India Act, 1992 (and the regulations issued thereunder)
- Secretarial Standards issued by the Institute of Company Secretaries of India
- National Guidelines on Responsible Business Conduct (NGRBC)

This Integrated Annual Report is aligned to the following standards and frameworks:

- Global Reporting Initiative (GRI) Standards 2021
- United Nations Sustainable Development Goals (UN SDGs)
- Task Force on Climate-related Financial Disclosures (TCFD)
- IFRS Sustainability Disclosure Standards

Double Materiality Assessment has been undertaken with reference to the methodology recommended by European Sustainability Reporting Standards - ESRS 1 and in alignment with guidance provided by European Financial Reporting Advisory Group.

Frameworks & Standards

TCFD IFRS® GRI

Rating agencies

CDP S&P Dow Jones Indices (A Division of S&P Global) MSCI

Contribution to UN SDG's



MARITIME GREEN 7455

External assurance

Financial information

Standalone and Consolidated Financial Statements have been audited by Deloitte Haskins & Sells LLP ('DHS'), Chartered Accountants, Statutory Auditors.

Non-financial information

Reasonable and limited assurance on the agreed indicators in the Integrated Annual Report (including the Business Responsibility and Sustainability Report) has been provided by DHS.

Assurance on the process and methodology of the Double Materiality Assessment has been provided by DHS.

Board Responsibility Statement

The Board acknowledges its responsibility to ensure the integrity of this Integrated Annual Report. In the Board's opinion, this report addresses all issues that are material to Asian Paints' ability to create value and presents a balanced overview of Asian Paints' performance.
The Board of Asian Paints approved this Integrated Annual Report on 29th May 2026.

Forward-looking statements

Certain statements in the report regarding our business are forward-looking statements. These include all statements, other than those of performance highlights and historical facts, including those regarding the market and financial position, business strategy, and objectives for future operations. Forward-looking statements shall be identified by words such as 'anticipates', 'expects', 'intends', 'may', 'will', 'believes', 'estimates', 'outlook' and other words of similar meaning in connection with a discussion of future operational, environmental, social and financial performance. Forward-looking statements are necessarily dependent on projections and trends and constitute our current expectations based on reasonable assumptions. Actual results could differ from the projected in any forward-looking statements due to risks and uncertainties and other external factors.

Share your feedback or queries on this Report

R J Jeyamurugan
CFO & Company Secretary
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investor.relations@asianpaints.com
Asian Paints Limited, 6A & 6B, Shantinagar, Santacruz (East), Mumbai - 400055, Maharashtra, India

How to read this report

Jump marks are linked to content within the PDF.

The 'Online' icon links to additional content on the Internet.

GRI 2-1 Organisational details, GRI 2-2 Entities included in the organisation's sustainability reporting, GRI 2-3 Reporting period, frequency and contact point, GRI 2-5 External assurance

At Asian Paints, we always aspire to be closer to our customers, willing to meet the diverse expectations of a vibrant customer base with a paint palette that is as extensive as India's rich heritage and culture. From offering the finest colours to vivid home décor solutions, we have adopted an innovative approach to transform living spaces and adding joy and bringing happiness home.

INDIA'S LEADING PAINT COMPANY

2,290,000 KL/ANNUM
We have installed in-house decorative paint manufacturing capacity in India^

16,000+
Employees globally, including 251 scientists

25^
In-house paint manufacturing facilities worldwide

60+
Countries served

56 Lakhs+
Beautifulhomes.com visitors during the year

74
Beautiful Homes stores across India

#2
Paint Company in Asia

#1
Integrated home décor player

#8
Paint Company in the world

#2
In fabrics and furnishing

#1
In decorative lighting



^ In addition, our Company has also tied up with Outside Processing Centres (OPCs) for manufacture and purchase of certain products.

LIVING THE AP CHARTER

We are Asian Paints, delivering joy since 1942.

We are in the business of colour, décor, design and protection, we make anything & everything beautiful and lasting.

Being innovators, we transcend global boundaries and are the preferred brand.

We are dynamic and disruptive. Constantly redefining trends with world-class solutions, inspiring consumers to realise their dreams.

We are committed to sustainability and safety.

We are creative. Co-creating and partnering with customers and stakeholders, transforming billions of living spaces and objects.

We are an inspiring and inclusive workspace.

We exist to beautify, preserve, transform all spaces and objects, bringing happiness to the world.

WE VALUE

Standing for each other's success
Always being selfless, ensuring success of all groups and individuals, like we would for ourselves

Creative zeal
Passionately striving to cause disruption by a constant search for innovative, out of the box and differentiated solutions and executing with velocity and attention to detail

Integrity
We honour our word, always

Audacity
Fearless in challenging the usual way of doing things, stretching for bold goals as a way of life

Scientific rigor
Adopting a data-analysis driven approach to decision-making and continuous experimentation towards building world-class practices and products

Customer passion
Treating our customers the way we would want to be treated. Customer First!

We dare. We care. We create beautiful worlds. You can count on us.

OUR BRANDS

asianpaints · asianpaints BERGER · asianpaints CAUSEWAY · apco · ESSESS by asianpaints · KADISCO by asianpaints · TAUBMANS · WT THE WHITE TEAK COMPANY by asianpaints · scib Paints · PPG asian paints · Sleek KITCHENS by asianpaints · Weatherseal European Windows and Doors by asianpaints · NANOVA CARE COAT · asian paints PPG · asianwhite

SmartCare Damp Secure addressed a persistent consumer need by creating a strong base that locks in paint and protects homes from dampness. Apcolite All Protek brought an all-round protection proposition to interior walls through Lotus Effect technology, designed to prevent stains from being absorbed. Nilaya Arc, a lime-based paint, combined environmental consciousness with tactile, rustic aesthetics and allowed consumers to create both solid finishes and special effects. WoodTech PU Gold introduced a first-of-its-kind luxury polyurethane wood finish with termite-repellent technology, offering long-term wood protection across interior and exterior applications.

We continued to innovate with purpose, combining technology, design and sustainability to create meaningful solutions for consumers and drive premium growth.

These launches reflect a consistent innovation philosophy: anticipating evolving consumer needs and shaping new solutions through science, design and performance. They also strengthen our ability to premiumise categories, expand use cases and create differentiated propositions across price points.

Our innovation agenda also moved beyond products into design foresight and material intelligence. During the year, we introduced the ColourNext Lab, a dedicated platform for research, experimentation and dialogue across colour, surfaces, finishes, craft and cultural context. Building on the 23-year legacy of ColourNext, the Lab explores future possibilities through research-led inquiry rather than ready-made solutions. ColourNext 2026, with Moonlit Silk as the Colour of the Year, captures emerging shifts in how people seek presence, meaning and emotional grounding in their spaces. It reinforces Asian Paints' role as a thought leader in colour, materials and design.

Scaling the service platform

The third initiative was to further scale our services platform. Over time, services have become a significant source of differentiation for Asian Paints. They bring us closer to consumers, improve execution quality and expand our role beyond product supply.

Our Beautiful Homes Painting Service continued to scale across the country and remains the largest organised painting service platform globally. Its strength lies in the operating model that supports it: a retailer-led franchise structure, trained painters, and contractors, standardised processes and technology-enabled execution.

This platform is sustained by continuous investment in capability building. We operate 24 Beautiful Homes Academies in Tier I cities and 53 mobile training units, extending training reach into Tier II markets and beyond. During the year, we trained more than 9.45 Lakhs painters and contractors, strengthening execution capability across the ecosystem.

9.45 Lakhs+
Painters and contractors trained during the year

Our services agenda also progressed meaningfully in institutional and industrial segments. Total Assure strengthened our proposition for builders, housing societies and large project customers through supervised execution and contractor-linked warranty assurance. Smart Assure extended this approach to waterproofing. Metacare, our asset management service for industrial customers, supported plant maintenance, corrosion management and lifecycle asset protection.



The scale at which we run these service platforms make them distinctly unique. They require trained manpower, technology enablers, process discipline, and sustained investment in execution infrastructure. As they scale, they are strengthening customer trust, improving market access and positioning Asian Paints more firmly as a solutions partner.

Deepening regional market execution

The fourth initiative was regionalisation. India is not one homogeneous market. Consumer preferences, cultural identities, demand patterns and competitive dynamics vary meaningfully across regions and micro-markets. We therefore sharpened our execution model to reflect this diversity with far greater precision.

Regional and festive packs were introduced across markets, drawing from local culture, art and design cues. The initiative created stronger local resonance and allowed the brand to engage consumers in a more personal and contextually relevant manner. Regional execution was also supported by localised campaigns, sharper dealer engagement and micro-market strategies.

Rural markets demonstrated relative resilience during the year, aided by favourable rainfall and improving sentiment. Urban market also saw some improvement especially in the second half of the year. Our distribution depth helped us capture this opportunity. During the year, we added nearly 6,000 new retail touchpoints. The overall network strength remains one of our strongest competitive advantages. It allows us to convert brand salience, local relevance and product availability into market performance across the length and breadth of the country.



Widening the net in B2B and industrial opportunities

The fifth initiative was to widen our participation in B2B and industrial opportunities. India's infrastructure build-up and manufacturing sector momentum continue to create large and sustained opportunities across factories, government infrastructure, hospitality, transport, industrial assets and large projects. We therefore expanded our focus beyond conventional builder and housing society segments to participate more meaningfully in this wider infrastructure cycle.

Our B2B business continued to strengthen its solution-led model across the project lifecycle. We also advanced integrated engagement across businesses through coordinated offerings and unified customer interfaces.

The AP Assure digital platform was introduced as a unified interface for institutional customers, consultants, engineers and project stakeholders. It brings together product information, system recommendations, service frameworks, technical publications and solution pathways. This strengthens our ability to offer a more data-driven, customised and collaborative engagement model.

Industrial coatings continued to strengthen its position during the year, extending the strong trajectory built over the past few years. The business benefited from sharp improvement in automotive demand post GST rationalisation, continued traction in protective coatings and sustained execution across industrial segments. During the year, we also extended our 50:50 joint venture partnership with PPG Group, USA, for a further 15 years, reinforcing our long-term commitment to the growing Industrial coatings market in the country.

SUPPLY CHAIN

Operating context

The supply chain operated in an environment characterised by improving but uncertain demand, evolving regulatory requirements and intermittent disruptions in mining and upstream sourcing. Upstream raw material costs remained largely stable for most of the year. However, changes in duty structures and regulatory frameworks in key categories required proactive navigation. Towards the end of the year, the Middle East conflict reintroduced volatility and supply chain uncertainty – an increasingly consistent feature of the global operating environment. Continuity of operations was maintained through proactive sourcing and procurement actions across the supply chain.

Cost control remained a sustained focus area throughout the year. The supply chain delivered significant value through formulation improvements, sourcing efficiencies and procurement optimisation. At the factory level, material loss control and structural reduction in overhead costs contributed to improved manufacturing efficiency.

As part of the Company's backward integration programme, the white cement plant in the UAE was successfully commissioned during the year and integrated into the India supply chain.

The supply chain supported multiple new product launches during the year, alongside significant enhancements to existing products from both cost and quality perspectives. A Right First-Time (RFT) approach was maintained to ensure adherence to the product launch calendar. New regional and festive packs were introduced, adding to product segmentation complexity handled by the network.

Customer service parameters remained strong during the year. Same-day order fill rate was maintained at high levels, with focused efforts on improving availability across long-tail SKUs.

Demand sensing processes were further enhanced to improve inventory productivity. Work continued on upgrading the Company's demand forecasting system to leverage emerging progress in technology and AI-led solutions. AI-based tools were deployed in upstream supply chain analysis, equipping procurement teams with a comprehensive view of the vendor ecosystem.

A significant milestone was achieved during the year with the transformation of the Company's earliest factory at Ankleshwar. The facility was scaled up with a 2.5x increase in capacity, built around a Flex Scale Manufacturing Philosophy. The legacy facility was decommissioned, marking the transition to an automated and flexible manufacturing platform capable of delivering the complex and expanding product range of the company.

Factory operations continued to progress on the manufacturing excellence programme maturity curve, with strong engagement from shop floor teams. The Behaviour-based Quality (BBQ) initiative was launched across factories during the year to embed quality-centric practices in processes and workforce behaviour.

Under the Vyansamadhanam initiative, the Company continued its focus on safety and wellbeing across operations. Investments in the process safety domain continued during the year, alongside the deployment of technology for proactive detection of process safety incidents and escalation management.

Khandala Plant



INTERNATIONAL BUSINESS

Asian Paints operates in 13 countries across four key regions: South Asia, the Middle East, Africa and the South Pacific. The international portfolio is marketed through seven corporate brands: Asian Paints, SCIB Paints, Apco Coatings, Asian Paints Berger, Taubmans, Asian Paints Causeway and Kadisco Asian Paints.

Operating environment

The international business operated in a mixed macroeconomic environment during FY 2025-26. Raw material prices remained largely benign for most of the year, with a deflationary trend across several categories. This supported price stability in most markets and enabled subsidiaries to focus on business development amid intense competitive activity.

Supply chain pressures re-emerged towards the end of the year due to geopolitical disruptions. This resulted in significant increases in certain raw material and packaging material costs across geographies. Interest rates and inflationary pressure remained elevated in some of our markets.

Bangladesh experienced softening consumer demand and business sentiments due to uncertainty ahead of the general elections. Sentiment improved after peaceful elections. The Bangladeshi Taka remained stable during the year, while improved availability of US dollars supported consistent raw material supplies.

Nepal faced socio-political disruption during the year, with consequences for economic activity, business continuity and consumer sentiment. Immediate operational disruptions and election-related uncertainty weakened paint category demand. Stability improved after elections, although demand conditions remained cautious.

In Egypt, macroeconomic sentiment improved, supported by IMF assistance and government reforms. Construction activity and housing demand remained steady, supporting demand in the coatings market. The Egyptian Pound remained broadly stable for most of the year before turning volatile towards the year-end due to regional tensions.

Ethiopia continued to face currency devaluation and intermittent US dollar availability. While foreign exchange availability improved compared with earlier periods, inconsistency in access affected raw material availability. High inflation continued to affect demand and profitability, despite regular pricing actions.

Sri Lanka recorded strong macroeconomic conditions for most of the year. Cyclone Ditwah caused widespread disruption in central and eastern parts of the country in December, temporarily affecting demand sentiment. However, the market showed resiliency and recovered in the fourth quarter.

Business performance

Across regions, focused operational interventions supported profitability, cash flow and market share performance. Across markets, our units focused on efficiency, working capital optimisation and liquidity management to address competitive intensity and currency volatility.

International segment revenue for FY 2025-26 came in at ₹ 3,354 Crore and registered growth of 9.4%, led by South Asia.

Across the Middle East, Egypt and South Asia, the business continued to strengthen consumer engagement through product and service propositions. Network expansion, contractor enrolment and consumer



outreach remained key focus areas. Premium and luxury products supported mix improvement and deeper shop-share in identified retail counters. Product launches and product revamps strengthened quality, relevance and consumer choice across markets. Safe Painting Solutions supported customer experience and service-led differentiation in select geographies.

South Asia

Nepal faced political uncertainty, governance challenges and a slowdown in housing activity during the year. Despite this environment, the business delivered a resilient performance and gained market share through disciplined execution and targeted town-level strategies. Premium and waterproofing segments supported mix improvement. Cost optimisation and working capital discipline aided margins, profitability and cash flow.

Bangladesh operated in a subdued market environment. Consumer sentiment remained cautious for most of the year due to political uncertainty, inflation and elevated borrowing costs. Construction activity was also affected. Sentiment improved in the fourth quarter after the formation of an elected government.

VALUE CREATION MODEL

OUR PURPOSE

We exist to beautify, preserve, transform all spaces and objects, bringing happiness to the world.

OUR VALUES

Standing for each other's success | Creative zeal | Integrity | Audacity | Scientific rigor | Customer passion

HELPS US TO UTILISE OUR INPUTS

Financial resources

Strong balance sheet supporting our growth plans
Shareholder's funds: **₹20,781.6 Crores**
Debt: **₹1,221.3 Crores**

People and capabilities

Talented, diverse team of 33,000+ people
Permanent employees: **11,162**
Contractual employees: **22,198**
Investment in Learning & Development: **₹20.6 Crores**

Natural resources

Utilisation of various natural resources such as water, oil, etc.
Renewable electricity consumption: **56.5%**
Spend on water conservation: **₹ 31.0 Crores**
Specific non-process water consumption: **0.44 KL/KL**
Specific electricity consumption: **87.3 kWh/KL**

Manufacturing capabilities

Pan-India state-of-the-art manufacturing facilities securing high levels of productivity and product excellence
Property, plant, and equipment: **₹6,040.2 Crores**
In-house installed decorative paint capacity: **2,290,000 KL/ annum**
Manufacturing facilities (in-house): **13**
Processing centres (outsourced): **30**

Communities

Beneficiaries of our numerous CSR projects across India
Spend on CSR activity: **₹114.6 Crores**

Relationship with value chain partners

Supplier base: **30,000+**

Technology and innovation

Robust digital infrastructure and strong R&T capabilities
Spend on Research and Development: **₹124.9 Crores**
Scientists at Research & Technology Centre: **250+**
Patents filed: **181**
Investment in Information Technology: **₹158.2 Crores**

TO STRATEGISE BUSINESS OPERATIONS FOR MAXIMISING SHAREHOLDERS RETURNS



Upstream

Innovation-led products and services

Strategic supply chain management

Own operations

Management process

Sustainable and safe manufacturing

Downstream

Brand value propagation

Customer life cycle management

Deliver products and services



Our growth accelerators

- Massive upsurge on brand building
- Dialed up innovation quotient
- Services ignition
- Regional market ignition
- Widening the net in B2B
- Backward integration

Read more at Page 17



SUSTAINABILITY

Sustainable operations

Energy conservation
Setting standards for energy neutrality and optimum resource utilisation

Product stewardship
Providing industry-leading environmentally sustainable product options in every category

Water neutrality
Ensuring water neutral operations

Nature positive
Achieving near-zero waste and emissions and foster circularity through the 3R principles

Read more at Page 112

Synergising relationships

Community ownership, Customer celebrations
Fostering the development of our communities and deliver customer delight

Water stewardship
Assisting local communities with their water requirements

Energising, equitable & inclusive workplace
Creating a workplace that celebrates diversity and values performance

Safe workplace
Providing healthy and safe work environment

Read more at Page 134

Governance

World-class governance
Committed to be a leader in ESG assessments

Sustainable supply chain management
Prioritising ethical sourcing, reduce environmental impact, and promote social responsibility

Read more at Page 182

ADDRESS MATERIAL TOPICS

Read more at Page 91

- Climate Change Mitigation
- Air Emission Pollution
- Waste Management
- End-of-Life Management of Product and Packaging
- Sustainable Product and Service Offerings
- Consumer Health and Safety
- Product Chemistry
- Water Management
- Occupational Health
- Safety and Wellbeing
- Talent Management
- Employee Engagement and Wellbeing
- Human Rights – Value Chain
- Community Engagement
- Customer Delight
- Supplier Sustainability
- Supply Chain Disruptions
- Counterfeit Products
- Business Ethics and Corporate Governance
- Competitive Landscape and Market Position

9. Open-ness of business

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans & advances and investments, with related parties, in the following format:

Parameters	Metrics		FY 2025-26	FY 2024-25
Concentration of Purchases[1]	a.	Purchases from trading houses as % of total purchases	**11.6%**	12.1%
	b.	Number of trading houses where purchases are made from	**1,439**	1,509
	c.	Purchases from top 10 trading houses as % of total purchases from trading houses	**52.8%**	60.3%
Concentration of Sales[2]	a.	Sales to dealer/distributors as % of total sales	**99.0%**	99.0%
	b.	Number of dealers/distributors to whom sales are made	**72,873**	75,793
	c.	Sales to top 10 dealers/distributors as % of total sales to dealers/ distributors	**0.9%**	0.9%
Share of RPTs in	a.	Purchases (Purchases with related parties/Total purchases)	**2.9%**	2.6%
	b.	Sales (Sales to related parties/Total sales)	**0.1%**	0.1%
	c.	Loans & advances (Loans & advances given to related parties/Total loans & advances)	**Nil**	Nil
	d.	Investments (Investments in related parties/Total investments made)	**16.4%**	34.1%

Notes:

1. Purchases pertains to raw material, packing materials, stock in trade, spares and capital expenditure.
2. Gross sales has been considered for calculation of the indicator.
3. Reasonable assurance has been carried out by Deloitte Haskins & Sells LLP on above indicator.

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

The Company is committed to conducting its business in an ethical, fair, legally, socially and environmentally responsible manner. Business Partners are an integral part of the Company's ecosystem, and the Company encourages them to act as responsible corporate citizens. The Company has in place a documented Code of Conduct for Business Partners ("Code") to reinforce its commitments towards business integrity, human rights, labour practices, environment stewardship, etc.

During the reporting year, 3,264 existing vendors acknowledged and accepted the Code, representing over 92% of the Company's raw material and packaging suppliers by value. The Code is available at https://www.asianpaints.com/CodeofConductforBusinessPartners.html. Further, all the agreements/contracts/purchase orders entered into by the Company with the business partners includes confirmation on adherence to the above-mentioned aspects.

The Company has a supply chain sustainability programme *"Samaveta"* to institutionalize collaboration on sustainability by establishing the ESG baseline & maturity, identifying areas of possible collaboration. One of the initiatives is Samaveta Academy which focuses on capacity building on fundamental ESG aspects in our value chain. Details of the awareness programs held under the Samaveta Academy:

Total number of awareness programmes held	Topics/principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
5	Basics of ESG, Process Safety Management, Life Cycle Assessment, Corporate Governance and Corporate Social Responsibility	12

Additionally, the Company undertakes a continuous engagement and awareness programmes with value chain partners such as contractors at the factory and warehouse locations, on ESG aspects covered in these principles.

2. Does the entity have processes in place to avoid/manage conflict of interests involving members of the Board? (Yes/No) If yes, provide details of the same.

Yes, the Company has in place a Code of Conduct for Board of Directors and Senior Management Personnel ("Code"), which provides clear guidelines for avoiding and disclosing actual or potential conflict of interest with the Company and annual declaration on adherence to the Code is obtained from the Board of Directors. The Code is available on the Company's website at https://www.asianpaints.com/CodesandPolicies.html

The Company receives an annual declaration and changes, if any, from time to time, from its Board of Directors and Senior Management Personnel on their concern and interest in other entities, and ensures requisite approvals, as required under the applicable laws, are obtained prior to entering into transactions with such entities. Further, the Directors abstain from participating in discussion and voting on agenda items at the Board/Committee meetings in which they are interested or deemed to be interested.

PRINCIPLE 2 : Businesses should provide goods and services in a manner that is sustainable and safe

Essential Indicators

1. Percentage of Research & Development ("R&D") and capital expenditure ("Capex") investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

Particulars	Current Financial Year	Previous Financial Year	Details of improvements in environmental and social impacts
R&D	**2.0%**	2.0%	The Company has an in-house Research & Technology (R&T) facility, where experts and scientists work on various innovations/technologies, including developing pathways for bringing on more sustainable and environment friendly products. These initiatives includes low Volatile Organic Compound (VOC) paints, and efforts towards reducing/eliminating lead and heavy metals, etc. The Company has spent ₹ 121.7 Crores and ₹122.8 Crores (only operating cost) on R&T expenses, during FY 2025-26 and FY 2024-25, respectively. These include expenses on multiple projects embodying several benefits including environmental and social benefits, however, separately identifying such costs is not feasible. The reported percentage of R&D includes only separately identifiable expenses, and excludes employee cost and other direct expenses of R&T.
Capex	**5.6%**	1.4%	The capital expenditure includes investments in renewable energy, installation of environment monitoring systems, energy efficient equipment, waste reduction & treatment infrastructure and automation of labour intensive activities among others.

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)

Yes, the Company has established robust procedures to ensure sustainable sourcing practices during supplier onboarding as well as on-going engagements with existing suppliers through *"Samaveta"* program.

Sustainability parameters are seamlessly integrated into the Company's broader supply chain strategy, anchored by the Code of Conduct for Business Partners ("Code"). Vendor selection and onboarding processes include an evaluation of compliance with applicable environmental regulations, such as possession of valid consents and other statutory authorizations, presence of an environmental policy and management system and adherence to key human rights principles. The Company conducts ESG assessments through Self-Declaration Forms ("SDFs"), public ESG disclosures, site visits or virtual evaluations, and targeted capacity building workshops for suppliers. A detailed update on the *"Samaveta"* program is available in the "Sustainable Operations" section of this Integrated Annual Report on page 118.

During the reporting year, 3,264 existing vendors acknowledged and accepted the Code, representing over 92% of the Company's raw material and packaging suppliers by value.